

Financial Investment Tools	
Bank Fixed Deposits (FDs)	Superannuation
Bank Recurring Deposits (RDs)	Gold
PPF (Public Provident Fund)	Stocks
EPF (Employee Provident Fund)	Bonds
VPF (Voluntary Provident Fund)	Mutual Funds
National Pension Scheme (NPS)	FMPs (Fixed Maturity Plans) of MFs
Sukanya Samridhi Scheme (SSS)	Commodities
Gratuity	Real Estate

FMPs (Fixed Maturity Plans) of MFs

Whenever inflation figures are on the rise, the interest rates offered by banks on deposits also start rising. This may look like a rosy picture for those who derive a major chunk of their income from fixed deposits as banks now offer more interest for the same amount, but what about the fixed deposits made earlier?

Has the interest offered by banks on these deposits also increased? The simple answer is "no" – the interest offered by banks has increased only for the new deposits.

Again, what happens if tomorrow, the banks increase their interest rates? Will they offer a higher interest on the FDs that you have made today? The answer, again, is "no".

With the answer to both the above questions being 'no', what can you as a retail investor do? You prefer not to invest in the stock market to avoid the hassles of timing the market. But again, in the fixed income products as well, you have to time the market!

With the manner and the speed at which the interest rates fluctuate these days, timing the market has become an important criterion for investing in fixed income instruments as well. Therefore, you will need a professional team who understands these fluctuations and can time the market for you.